The world needs a strong and connected China

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07:30 March 16 2026

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China's economy faces a myriad of risks as we move into the new year. Domestically, the housing sector is deep in recession and the consumer extremely cautious. Offshore, China's access to energy has been threatened and clouds are beginning to gather over global growth, and consequently future export opportunities. It is fitting then that authorities downshifted their growth expectations from 5.0% in 2025 to 4.5-5.0% in 2026, although we suspect that without urgent pro-active stimulus, the new target will prove out of reach.

Starting with the domestic scene, having contracted approximately 40% since end-2021 while the economy grew 20%, property investment has considerable upside. However, after four years of consistent decline, a trigger is needed to reset confidence and justify households (and businesses) committing to acquire dwellings. It is important to note that authorities have already provided considerable support by lowering interest rates (the weighted average mortgage rate has been cut 250bps since end-2021), increasing liquidity (the Reserve Requirement Ratio has been reduced by 350bps from mid-2021), dramatically lowering deposit requirements for owner-occupiers and investors across the nation, and allowing corporates and financial entities to buy properties. Still, to turn the property sector, pro-active policy at scale is required.

This is also the case for personal consumption. Labour market data is extremely limited for China, but the consistent weakness seen in the NBS PMI employment indexes versus history is telling, especially in contrast to the rapid growth of high-tech manufacturing capacity over the past five years. This is the downside of implementing highly efficient new production: robots and automated systems reduce the need for human workers, particularly those with limited skill sets. Most of the benefit of trade thus flows to profits and taxes and then on to households and related businesses. However, in China currently, this is yet to occur as industry doubles down on investment in anticipation of future demand, while Chinese equities slowly retrace losses suffered since mid-2021, and the nation's tax system remains immature.

To aid employment, sentiment and activity growth, additional government payments are not only necessary for households but also for local authorities and domestically-focused businesses – to entice pent-up demand for equipment and construction investment. This would be the quickest way to lift employment growth and, ideally helped by additional support for the housing and equity markets, buoy confidence in future wealth prospects. Authorities not only need to emphasise that consumption's share of the economy will trend up, they also need to catalyse it today.

Turning to foreign developments, the pre-eminent risk for China is no longer the impact of US tariffs but rather the potential loss of energy supply. The majority of China's energy needs are met domestically thanks to strong growth in renewables and its domestic coal supply. However, China imports more than half of its petroleum and other liquid fuel needs and around a third of natural gas consumed, according to the US Energy Information Administration. Apart from supply from Russia, China is most exposed to Middle East production.

That said, China is also one of the best-placed nations to ride out energy supply disruptions thanks to existing stockpiles and an ability to reduce exports of refined products to protect domestic supply. Still, if conflict in the Middle East escalates, or merely persists for a month or three (see page 9 of our March Market Outlook), supply issues could impede China's growth. The US looking the other way on supply from Russia for both China and India could be a solution, which would also help balance global demand and supply, though this would likely have other geopolitical implications. China also needs to make sure the nations it is building economic and political relationships with throughout Asia and Latin America are looked after. Doing so will bolster the export opportunities for its local industry which, as set out above, are critical to generating the income to fund current and future domestic investment.

Speaking of export opportunities, 2025 was a spectacular success for trade, the monthly good surplus averaging USD99bn and ending the year at USD114bn, a pace sustained in early-2026. Still, the monthly goods surplus is likely nearing an upper threshold, having widened from USD68bn in 2023 to USD83bn in 2024 (+22%) to USD99bn last year (+19%) while the global economy grew little more than 3%. More can likely be done to reduce China's import needs, benefiting China's trade surplus. But the pace of growth is unsustainable overall, particularly if the emerging nations that have driven China's export growth in recent years are to remain on China's side. Simply put, they need lasting trade opportunities too.

This analysis first appeared in Westpac Economics' March Market Outlook.

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